goods and services to be supplied by the state and the market get redefined in the economies from time to time.

ORGANISING AN ECONOMY

Any one issue which has affected civilised history of mankind the most and has been a contentious issue is as to how the production process in an economy should be organised. Whether the production should be the sole responsibility of the State/Government or should it be left altogether to the private sector? Again, will it be better to carry on production with a joint effort—a mixture of state and private enterprises?

Depending upon the dominant view of the time in a particular country, different forms of production patterns evolved and different economic systems finally came up, providing alternative ways of organising an economy. The three models of economic systems which we see coming up are basically the different stages in the evolutionary process of our experiments which define a better way of organising our economy. We must have a concise overview of this evolutionary process:

1. Capitalistic Economy

The capitalistic form of economy has its origin in the famous work of Adam Smith—*Wealth of Nations* (1776). Adam Smith (1723–1790), the Scottish philosopher-economist professor at Glasgow University whose writings formed the basis of classical economics had stressed certain fine ideas which were to take fancy among some of the western countries and finally capitalism took birth. He raised his voice against the heavy-handed government regulation of commerce and industry of the time which did not allow the economy to tap its full economic worth and reach the level of well-being. Stressing ‘division of labour’, an environment of ‘laissez faire’ (non-interference by the government) he proposed that the ‘invisible hand’ of the ‘market forces’ (price mechanism) will bring a state of equilibrium to the economy and a general well-being to the countrymen. For such an economy to function for public well-being, he has acknowledged the need of *competition* in the *market.*